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Lotes Co. Ltd | Asia Pacific

2Q GM missed on higher raw material costs

AlphaSignals Earnings Reaction

Unchanged

Impact to our thesis



Modest shortfall

Financial results versus consensus



Modest revision lower

Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- Management had been highlighting the material headwind, but the q/q GM decline is bigger than expected.
- Consensus GM estimates had been higher because of higher server mix in 2Q; the stock could react negatively in the short term as a result.

2Q results:

- GM came in at 45.5% (-410bps q/q, -550bps y/y) 340bps below MSe and 380bps below the Street. This is mainly due to rising raw material costs and depletion of low cost raw material inventory, with Lotes unable to raise prices to end customers, until new project price negotiations.
- OPEX is also higher than expected at NT\$2.25B (+18% q/q), 17% above MSe and 12% above the Street.
- So OpM declined to 22.0% (-710bps q/q, -920bps y/y), 790bps below MSe and 740bps below the Street.
- Net profit was NT\$1,984M (-17% q/q, +165% y/y) for EPS of NT\$17.69, 11% below MSe and 14% below the Street.
- Lotes is holding an earnings call on August 13 at 10am HKT; we will share takeaways after the call.

Exhibit 1: 2Q26P results summary table

	2Q26P Results							
NT\$m	Actual	QoQ	YoY	MS Est.	Var.	Cons	Var.	
Net sales	9,569	3%	15%	10,162	-6%	10,070	-5%	
COGS	-5,218	11%	28%	-5,198	0%	-5,105	2%	
Gross profit	4,351	-6%	2%	4,964	-12%	4,965	-12%	
Operating expenses	-2,248	18%	36%	-1,928	17%	-2,010	12%	
Operating income	2,103	-22%	-19%	3,035	-31%	2,955	-29%	
Non-operating income	495	68%	NM	147	236%	131	279%	
Pre-tax income	2,598	-13%	113%	3,183	-18%	3,085	-16%	
Income tax	-755	32%	65%	-925	-18%	-777	-3%	
Net income	1,984	-17%	165%	2,223	-11%	2,309	-14%	
EPS (NT\$)	17.69	-17%	165%	19.83	-11%	20.60	-14%	
Margins (%)		ppt	ppt		ppt		ppt	
Gross margin	45.5%	-4.1	-5.5	48.8%	-3.4	49.3%	-3.8	
Operating margin	22.0%	-7.1	-9.2	29.9%	-7.9	29.3%	-7.4	
Pre-tax margin	27.1%	-5.0	12.5	31.3%	-4.2	30.6%	-3.5	
Net margin	20.7%	-5.0	11.8	21.9%	-1.1	22.9%	-2.2	

Source: Company data, Visible Alpha, Morgan Stanley Research estimates.

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Asia Summer School 2026

Lotes Co. Ltd. (3533.TW, 3533.TT)

Greater China Technology Hardware | Taiwan

Stock Rating	Equal-weight
Industry View	In-Line
Price target	NT\$2,350.00
Up/downside to price target (%)	17
Shr price, close (Aug 12, 2026)	NT\$2,010.00
52-Week Range	NT\$2,955.00-1,140.00
Sh out, dil, curr (mn)	105
Mkt cap, curr (mn)	NT\$210,617
EV, curr (mn)	NT\$197,380
Avg daily trading value (mn)	NT\$2,318

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	70.18	94.03	116.81	144.67
Prior EPS (NT\$)**	-	-	-	-
EPS (NT\$)§	68.94	96.12	128.62	157.74
Revenue, net (NT\$ mn)	33,783	41,507	48,413	57,189
EBITDA (NT\$ mn)	12,955	15,582	18,798	22,583
ModelWare net inc (NT\$ mn)	7,866	10,539	13,092	16,215
P/E	18.5	21.4	17.2	13.9
P/BV	3.6	4.8	4.1	3.5
RNOA (%)	37.7	38.2	46.7	55.7
ROE (%)	20.7	26.1	27.9	29.6
EV/EBITDA	10.2	12.3	9.8	7.8
Div yld (%)	3.3	1.7	2.3	2.9
FCF yld ratio (%)**	2.1	4.3	5.3	6.4
Leverage (EOP) (%)	(32.8)	(40.1)	(46.6)	(51.8)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

§ = Consensus data is provided by Refinitiv Estimates

** = Based on consensus methodology

e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Lotes Co. Ltd. (3533.TW)

Primary - Residual Income

Base case, residual income model. Key assumptions include a cost of equity of 9.6% (beta of 1.0, equity risk premium of 8.7% and risk-free rate of 1.0%), a medium-term growth rate of 12.5%, and a terminal growth rate of 3%.

Risks to Upside

- Stronger-than-expected growth in the server business, such as from cloud and enterprise in China
- Stronger-than-expected DT demand
- Sooner-than-expected inventory digestion of NB
- Faster ramp-up of its EV business

Risks to Downside

- Further deceleration of server demand from US hyperscalers
- Weaker-than-expected DT demand
- Slower-than-expected inventory digestion of NB
- More severe pricing erosion driven by competition

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(as of July 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
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Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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Price Target History: 10/6/22 : 959.17; 10/21/22 : 984.02; 3/21/23 : 984; 5/12/23 : 1100; 7/17/23 : 955; 11/10/23 : 1000; 3/13/24 : 1450; 3/27/24 : 1650; 5/13/24 : 1750; 7/25/24 : 1850; 10/21/24 : 1860; 11/12/24 : 1880; 1/17/25 : 1980; 3/4/25 : 1870; 3/12/25 : 1860; 4/23/25 : 1400; 5/2/25 : 1450; 5/12/25 : 1325; 7/21/25 : 1615; 8/13/25 : 1580; 11/1/25 : 1480; 11/12/25 : 1400; 3/13/26 : 1585; 4/20/26 : 2400; 5/15/26 : 2350

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/12/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$42.68
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb185.03
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$23.82
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.94
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb16.62
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb428.20
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$578.00
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb22.56
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.72
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb36.47
Largan Precision (3008.TW)	O (07/10/2026)	NT\$4,585.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb7.25
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.51
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb57.35
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb7.41
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$6.85
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb54.03
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$37.40
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb56.29
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$58.85
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb240.05
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb17.15
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$26.36
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb345.79

Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK\$131.40
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb102.87
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb27.55
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb921.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$25.50
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb35.59
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$2,215.00
Advantech (2395.TW)	O (01/20/2021)	NT\$686.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,595.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$2,910.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$26.25
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$1,050.00
Bizlink (3665.TW)	O (03/10/2025)	NT\$2,155.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.93
Chenbro (8210.TW)	O (07/23/2025)	NT\$1,005.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$2,195.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,790.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT\$166.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$58.30
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$1,835.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$369.00
Innolux (3481.TW)	E (04/07/2025)	NT\$50.40
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$12,045.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb35.25
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$259.50
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb5.09
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.70
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb225.20
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$31.75
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$852.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$205.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$39.90
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$5.22
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb65.60
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$375.50
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$1,000.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$270.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb75.02
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$2,725.00
Lenovo (0992.HK)	O (07/10/2026)	HK\$29.04
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$2,010.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$1,265.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$91.40
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$325.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb143.23
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb385.80
Unimicron (3037.TW)	O (02/23/2026)	NT\$1,000.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$384.50
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$193.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$6,025.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$602.00
Zhen Ding (4958.TW)	++	NT\$471.50

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